L2 SIGNALS PRO

# Performance Measurement Policy

| STATUS | APPLIES TO | MEASUREMENT CYCLE |
| --- | --- | --- |
| Draft for review | All L2 Signals members, including founding members | Calendar month WAT (UTC+1) |

## 01 Purpose

This policy establishes how L2 Signals records official signal outcomes, calculates monthly net R, and determines eligibility for the founding-member subscription extension.

The policy ensures that performance is measured consistently using the L2 Signals signal engine rather than individual trading account results or discretionary trading decisions.

## 02 Official Performance Measurement

L2 Signals measures its official performance using the outcomes recorded by its signal engine according to its predefined strategy rules.

Official L2 Signals net R is determined by the signal engine's recorded outcomes, not by trades executed in the founder's personal trading account or members' individual trading accounts.

This separation is intentional. Personal trading decisions, manual interventions, and discretionary trade management must not determine the reported performance of the systematic signal engine.

The official performance record must follow the engine's documented entry conditions, stop-loss, take-profit, and trade-management rules.

Any corrections to recorded results must be supported by the official signal records and relevant market data.

## 03 Understanding R

R represents the initial risk associated with a signal, based on its predefined entry and stop-loss parameters.

For example, where the initial risk is defined as 1R:

- A loss equal to the initial risk is recorded as −1R.
- A profit equal to twice the initial risk is recorded as +2R.
- A profit equal to half the initial risk is recorded as +0.5R.
- A breakeven result is recorded as 0R.

R measures a result relative to the predefined initial risk, not a fixed monetary amount.

Consequently, two members can obtain different monetary results from the same signal while the official L2 Signals result remains unchanged.

## 04 Monthly Measurement Cycle

L2 Signals uses a calendar-month performance measurement cycle.

Each monthly measurement period begins at 00:00 on the first day of the calendar month and ends at 23:59:59 on the final day of that month, using West Africa Time (WAT, UTC+1).

At the beginning of each new calendar month, the monthly net R calculation resets to zero.

The previous month’s result remains part of the historical performance record but does not carry forward into the new month’s net R.

### 4.1 Subscription Dates and Payment Timing

The official performance measurement calendar is independent of individual subscription dates.

Consequently:

- A member who subscribes mid-month falls under the official net R calculation for that calendar month.
- A member who renews early remains subject to the same calendar-month measurement cycle.
- A member who renews or pays late does not cause the performance measurement period to shift.
- Subscription activation, renewal, or late payment does not create a separate personal net R calculation.

The same official monthly performance result applies to all members assessed under that calendar month.

Subscription access remains subject to the applicable subscription and payment terms.

### 4.2 Monthly Results and Historical Performance

Each calendar month receives its own official net R result.

For example:

| MONTH | OFFICIAL MONTHLY NET R |
|---|---|
| January | +8R |
| February | −3R |
| March | +5R |

March begins a new measurement period at 0R. January’s and February’s results remain in the historical record but do not contribute to March’s monthly net R.

L2 Signals may separately report cumulative performance across multiple months, provided the reporting period and calculation are clearly identified.

## 05 Month-End Calculation and Finalisation

The monthly calculation begins at the end of the final calendar day of each month.

At that point, L2 Signals identifies the signals belonging to the monthly measurement period and calculates their official outcomes.

Signals that remain open at the month-end cutoff will continue to be tracked under the signal engine’s established trade-management rules until their outcomes are finalised.

A signal will not be arbitrarily classified as a win or loss solely because the calendar month has ended.

The monthly result remains provisional while relevant signals are unresolved. Once the outstanding outcomes have been finalised, L2 Signals will confirm the month's official net R.

Signals are attributed to the month in which they were officially published, according to their recorded publication timestamps. A signal published in one month does not become a signal belonging to the next month merely because its outcome is finalised later.

The same attribution principle applies consistently to all monthly calculations.

## 06 Calculating Monthly Net R

Monthly net R is the sum of the official R outcomes of all eligible signals attributed to that calendar month.

**Formula:** Monthly Net R = Sum of the official R outcomes of eligible signals attributed to the month.

> **Monthly Net R** = Σ official R outcomes of eligible signals attributed to the month

**Example A: Positive Monthly Net R**

| SIGNAL | OFFICIAL OUTCOME |
|---|---|
| Signal 1 | +2R |
| Signal 2 | −1R |
| Signal 3 | +1.5R |
| Signal 4 | −2R |
| Signal 5 | +1R |
| **Monthly net R** | **+1.5R** |

The month's official net R is +1.5R.

**Example B: Negative Monthly Net R**

| SIGNAL | OFFICIAL OUTCOME |
|---|---|
| Signal 1 | +1R |
| Signal 2 | −2R |
| Signal 3 | −1R |
| Signal 4 | +0.5R |
| **Monthly net R** | **−1.5R** |

The month's official net R is −1.5R.

The calculation is based on the R outcomes of eligible signals, not simply the number of winning and losing signals.

## 07 Eligible and Ineligible Signal Outcomes

Signal status must be recorded consistently.

### 7.1 Completed Signals

A signal with a final outcome established under the signal engine’s rules is included in the monthly net R calculation.

### 7.2 Unfilled Signals

A signal whose prescribed entry conditions were never met is recorded as unfilled.

An unfilled signal is not automatically classified as a loss and does not contribute a completed-trade R outcome.

### 7.3 Cancelled Signals

A signal officially cancelled before its entry conditions are met is recorded as cancelled and excluded from completed-trade results.

The cancellation and its reason should be retained in the official signal record.

### 7.4 Breakeven Signals

A completed signal whose official outcome is breakeven contributes 0R to monthly net R.

### 7.5 Unresolved Signals

A signal whose outcome has not been finalised is recorded as unresolved until its outcome is determined under the established signal-engine rules.

Unresolved signals are handled according to the month-end finalisation procedure in Section 5.

### 7.6 Partial Outcomes and Trade Management

Where the signal engine’s rules permit partial exits, stop adjustments, or other trade-management actions, the official outcome must reflect those predefined rules.

The R calculation methodology must be applied consistently rather than changed after a trade’s outcome becomes known.

## 08 Member Execution Responsibility

Members are expected to follow the published signal instructions and official updates.

Depending on the signal, these may include:

- Trade direction.
- Entry price or entry conditions.
- Stop-loss.
- Take-profit.
- Trade-management instructions.
- Cancellation notices and subsequent updates.

Members remain responsible for their own execution and account management.

Examples of execution deviations include:

- Entering at a different price.
- Entering before the specified conditions are met or entering late.
- Widening or removing the stop-loss.
- Moving the take-profit further away to pursue additional profit.
- Closing a position prematurely.
- Ignoring signal updates or cancellation instructions.
- Using personal trade-management rules that differ from the published instructions.

These decisions may cause a member's personal result to differ from the official signal outcome.

A member's personal result does not change the official R recorded by L2 Signals.

If the signal engine records a signal reaching its prescribed take-profit or stop-loss under the applicable rules, that official outcome remains the basis of the platform's performance record even if a member's individual trade produces a different result.

L2 Signals will not use individual account performance to determine official monthly net R or founding-member extension eligibility.

## 09 No-Signal Periods

L2 Signals operates according to predefined strategy conditions and market filters.

There may be days or weeks when the system does not produce a valid signal.

L2 Signals is not required to generate signals simply to maintain activity or meet an expected number of trades.

Days without eligible completed signals do not contribute additional R to the monthly calculation.

If no eligible completed signals are recorded for a calendar month, the official monthly net R is 0R, subject to the treatment of any unresolved signals under Section 5.

Under the current founding-member extension rule, a confirmed monthly net R of 0R qualifies for the one-time extension.

## 10 Founding-Member Extension Eligibility

The extension is governed by the Founding Members Programme and Founding Member Extension Policy.

Under the current rule, eligibility is determined using the official net R for the applicable first paid subscription month.

| OFFICIAL MONTHLY NET R | EXTENSION ELIGIBILITY |
|---|---|
| Below 0R | **Eligible** |
| Exactly 0R | **Eligible** |
| Above 0R | **Not eligible** |

Because L2 Signals uses a calendar-month measurement cycle, the applicable performance period is determined by the official calendar month, not by an individual member's payment timestamp.

The result must be finalised in accordance with Section 5 before extension eligibility is confirmed.

The extension:

- Is available only once.
- Applies after the applicable first paid subscription month.
- Does not recur after subsequent paid months.
- Provides additional access to the L2 Signals service.
- Is not a cash refund or reimbursement of personal trading losses.
- Does not guarantee future profitability.

If a member's individual account is profitable while the official monthly net R is 0R or negative, the official result governs eligibility.

Likewise, if a member personally loses money while the official monthly net R is positive, that individual loss does not establish eligibility for an extension.

## 11 Performance Records and Auditability

L2 Signals will maintain an official record sufficient to substantiate its reported signal outcomes and monthly net R calculations.

Relevant records may include:

- Unique signal identification numbers.
- Signal publication timestamps.
- Instrument and trade direction.
- Published entry conditions.
- Published stop-loss and take-profit.
- Official signal updates and cancellation records.
- Final signal status.
- Official R outcome.
- Monthly attribution.
- Calculation records and documented corrections.

Where practical, the records should allow a monthly net R result to be traced back to the individual signal outcomes that produced it.

Corrections must be supported by the official record and applied consistently. They must not be made merely to alter extension eligibility.

## 12 Limitations of Official Performance

The official L2 Signals performance record measures the signal engine under its defined rules. It does not guarantee that members will obtain identical results in their personal trading accounts.

Differences may arise from:

- Broker pricing and execution conditions.
- Spread and slippage.
- Order execution delays or rejected orders.
- Trading fees and commissions.
- Position sizing and leverage.
- Personal trade-management decisions.
- Differences between the engine’s reference data and a member’s broker feed.

Members are responsible for their own trading decisions, risk management, and account execution.

L2 Signals must accurately distinguish between backtested results, forward-tested results, and results from live market operation when presenting performance information.

The official record must not be represented as proof of personal profits guaranteed to members.

## 13 Policy Changes and Consistency

This policy must be read alongside the:

- Founding Members Programme.
- Founding Member Extension Policy.
- Subscription Terms & Conditions.
- Signal Access & Delivery Policy.
- Trading Risk Disclosure.

L2 Signals will apply the documented calculation rules consistently.

Material changes to the performance methodology will be documented and communicated to members. They will not be applied retroactively merely to change a previously determined extension outcome.

## 14 Member Acknowledgement

By subscribing to L2 Signals, members acknowledge that:

1. Official platform performance is calculated from the signal engine’s recorded outcomes, not the founder’s personal trading account or members’ individual accounts.
2. Monthly net R resets at the beginning of each calendar month.

3. The official measurement period is independent of individual subscription dates and payment timing.
4. Signals still open at month-end remain subject to finalisation under the documented rules.
5. Members are responsible for their own execution and trade management.
6. Personal execution deviations do not alter official signal outcomes.
7. A confirmed monthly net R of 0R or below qualifies for the founding-member extension only under the applicable eligibility rules.
8. Signal generation is conditional on market conditions and the system’s predefined strategy rules.
9. Official performance does not guarantee that every member will obtain the same result in their own account.

L2 SIGNALS — Systematic Trading. Measured Performance. Structured Execution.